Broker Responsibility Guide

How to Meet TREC Requirements

ESTABLISHING COMPETENCY

TEXAS REALTORS®

Establishing Competency

Why does this need to be in my manual?

License Holder's Competency: TREC ("Texas Real Estate Commission") Rule 535.2(i)(1) requires brokers to maintain current written policies and procedures that ensure that a sponsored sales agent is advised of the scope of the sales agent's authorized activities and is competent to conduct such activities, including competence in the geographic market area where the sales agent represents clients.

License Holder's Education and Training: TREC Rule 535.2(i)(5) requires a broker to maintain written policies and procedures to ensure that a sponsored sales agent receives necessary educational instruction the broker deems necessary to meet the competency requirements of the rule cited above. The education requirements are in addition to completing the required 18 hours of statutory minimum continuing education (CE). When a sales agent performs a real estate brokerage activity for the first time, the broker must require that the sales agent receive coaching and assistance from an experienced license holder competent for that activity.

What do I need to know?

Establishing Competency Standards: It is the broker's responsibility to inform and educate the license holder with knowledge and expertise necessary for the day-to-day functions needed to successfully guide a consumer through a real estate transaction. Therefore, a sponsoring broker should create written competency standards for sponsored sales agents.

Competency Considerations: Brokers should authorize sponsored sales agents to work only in the area of their expertise (i.e., residential sales, property management, commercial, farm and ranch transactions, etc.) and in geographic market areas in which they are knowledgeable. While these competency standards may be part of an independent contractor agreement, they must be communicated in written office policies to satisfy 535.2(i)(1).

License Holder Specialization: If sponsored sales agents are to provide services in other specialty fields like commercial, property management, or farm and ranch transactions, it is suggested that the broker require license holders to obtain education in that area prior to them providing services to the consumer.

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